Basler Kantonalbank

SWISS CLIMATE SCORES

Swiss Climate Score Report

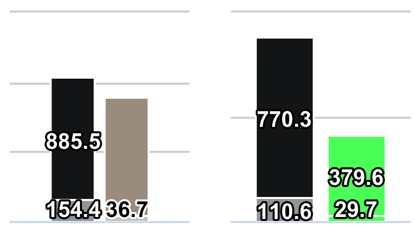
Current State

1. Green house emissions

Encompasses all sources of greenhouse gas emissions from invested companies (scope 1-3), including relevant emissions of their suppliers and products.

Intensity tCO2e/CHFM revenue

Carbon footprint tCO2e/CHFMinvested



Portfolio Benchmark

Portfolio Benchmark

Portfolio assets covered by assessment:

Intensity
- Scope 1 & 2:92.55%%
- Scope 3:92.55%%

Carbon footprint
- Scope 1 & 2:92.55%%
- Scope 3:92.55%%

Medium estimation uncertainty

2. Exposure to fossil fuel activities

There is scientific consensus of the need to phase-out coal and stop financing new fossil fuel projects. Below figures show the share of investments into companies that earn more than 5% of their revenues from such business activities.

Share of investments into companies with activities in:

COAL

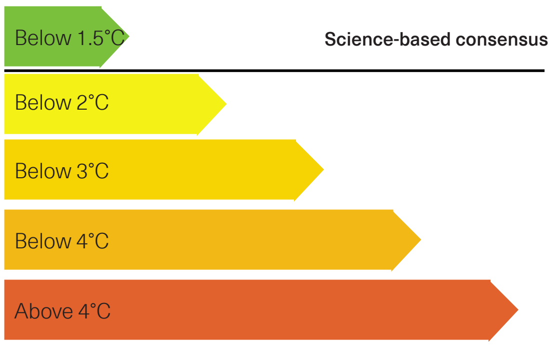
1%	0%
Portfolio:	Benchmark:

OTHER FOSSIL FUELS

19%	0%
Portfolio:	Benchmark:

Transition To Net Zero

3. Global warming alignment



2.26°C	#Bench...
Portfolio:	Benchmark:

Portfolio assets covered by assessment: **92.55%**

Data Provider:

Climate Scenario Used:

This is the level of global warming that would occur if the global economy acted with the same ambition as the companies in the portfolio. Some portfolios with climate objectives may intentionally include investments in companies that are not yet on track to 1.5°C, but seek to contribute actively to climate goals by improving the alignment of investee companies to bring a larger share of the economy into alignment over time.

High estimation uncertainty

4. Verified commitments to net zero

Companies are increasignly committing voluntarily to transitioning to net-zero and setting interim targets. The effectiveness of such commitments depends on whether interim targets are credible, sciencebased, and transparent.

Share of companies in portfolio with verified commitments to net-zero and credible interim targets:

Portfolio:

Benchmark:

44.62%

44.00%

Low estimation uncertainty

5. Management to net zero

Financial institutions can contribute to the transition to net-zero, by aligning their investment strategy with a consistent 1.5°C decarbonisation pathway.

Does the investment strategy include a goal to reduce the greenhouse gas emissions of its underlying investments through concrete short (1-3 years) or mid-term (5 years) targets?

Is the portfolio part of a third-party verified commitment to net-zero by the financial institution, including credible interim targets?

6. Credible climate stewardship

Financial institutions can contribute to the transition to net-zero, by engaging with invested companies on third-party verified, sciencebased net-zero aligned transition plans until 2050.

Are companies in the portfolio subject to credible stewardship on climate transition?

Share of companies currently under active climate engagement:

Share of climate votes supported:

Link to climate stewardship strategy and report:

Is the financial institution a member of a climate engagement initiative?

This report is produced by

Introduction

The combined set of indicators above, their display, and the below minimum criteria for these indicators are considered by the Swiss government as current best practice to establish transparency on the alignment with global climate goals. The Federal Council recommends to all financial institutions such transparency on all investment products and investment management mandates, where applicable.

Switzerland and its financial market are committed to transitioning to net-zero greenhouse gas emissions by 2050. This is needed to honor its obligations under the Paris Agreement of holding the increase in the global temperature to well below 2°C and pursuing efforts to limit it to 1.5°C. Current science indicates that global warming beyond 1.5°C has potentially catastrophic impacts on the natural world and human society.

The Swiss climate scores establish best-practice transparency on the Paris alignment of financial investments to foster investment decisions that contribute to reaching the climate goals.

Glossary

MINIMUM CRITERIA FOR THE SWISS CLIMATE SCORES

Greenhouse Gas Emissions

Hard requirements

Inclusion of scope 1 2 and relevant scope 3 Inclusion of scope 3 emissions must at a minimum be aligned to the schedule described in the EU benchmark regulation 2019 2089.

Exposure to Fossil Fuel Activities

Hard requirements

The threshold of 5 of revenues applies both to activities directly linked with the exploration and production of fossil fuels and, if data is readily available, activities financing such production (for coal, according to the global coal exit list or similar). The scope of activities includes the whole value chain, ranging from exploration, extraction and production to transportation and storage and refining marketing, and electrification (downstream).

Verified Commitments to Net Zero

Hard requirements

Companies must have publically communicated a pledge to reach net zero and have near term targets be certified by one of the following providers Science based targets initiative (SBTi).

Management to Net Zero

Hard requirements

To include portfolios as being part of a third party verified commitment to net zero, they must be part of the publicly communicated net zero targets under one of the sector specific alliances of the Glasgow Financial Alliance for Net Zero (GFANZ) If the claim is made that the investment strategy includes a goal to reduce the portfolio's greenhouse gas emissions, or those of its underlying investments included scope 3 emissions must at a minimum be aligned to the schedule described in the EU benchmark regulation 2019/2089.

Credible Climate Stewardship

Hard requirements

Votes/proxy votes should be consistent with the ambition of reaching net zero by 2050 Any linked climate engagement strategy should be consistent with the ambition of reaching net zero by 2050 An example for a climate engagement initiative is Climate Action 100

The escalation procedure is clearly defined and made transparent.

Global Warming Alignment

The portfolio is considered ""global warming aligned"" if: It is guided by the goal to achieve net zero emissions by 2050, consistent with the 1.5°C warming limit of the Paris Agreement and in line with the latest IPCC findings. Complies with the technical considerations of the TCFD 2021 PAT report "Measuring Portfolio Alignment – technical considerations". In particular, comply with: Select a 1.5°C scenario that complies, at a minimum, with the scenario selection criteria set out by the Science Based Targets initiative (SBTi) in their document Foundations of Science-Based Target Setting (consideration 7).

o Prioritize granular benchmarks when they meaningfully capture material differences in decarbonization feasibility across industries or regions (Consideration 8).

TERM DEFINITIONS

1.5 degree target (Paris-aligned target)

The alignment of public and private financial flows with the objectives of the Paris Agreement on climate change. Article 2.1c of the Paris Agreement defines this alignment as making finance flows consistent with a pathway towards low greenhouse gas emissions and climate-resilient development.

Climate engagement

Climate engagement is an activity performed by shareholders with the goal of convincing management to take account of climate issues. This dialogue includes communicating with senior management and/or boards of companies and filing or co-filing shareholder proposals. Successful engagement can lead to changes in a company's strategy and processes so as to reduce risks.

Climate Engagement Initiative

Initiatives launched with the ambition of reaching net zero by 2050. An example is Climate Action 100+.

Climate transition

A climate transition plan sets out how an organisation will transition its business to the low carbon economy, aligning its operations, assets, portfolio, and business model to meet Net Zero. The plans should include actions and targets to meet Net Zero commitments. The requirement to publish transition plans has been included in the TCFD guidance and adoption encouraged by 2023.

Climate votes

Votes/proxy votes that are consistent with the ambition of reaching net-zero by 2050.

CO2 equivalents (CO2e)

The amount of carbon dioxide (CO2) emission that would cause the same integrated radiative forcing or temperature change, over a given time horizon, as an emitted amount of a greenhouse gas (GHG) or a mixture of GHGs.

Coal based Revenues

For the purposes of the Swiss Climate Score, coal based revenues are revenues generated by companies through activities in thermal coal, extraction and generation but exclude metallurgical coal. From the moment the related activities (coal and/or fossil fuel activities) represent more than 5% of overall revenues of a company, the full amount of current company investment is included for the calculation.

Collaborative stewardship

Collaborative shareholder engagement occurs when a group of institutional investors come together to engage in dialogue with companies on environmental, social and governance (ESG) issues. By speaking to companies with a unified voice, investors can more effectively communicate their concerns to corporate management. The result is typically a more informed and constructive dialogue. Investors can benefit substantially from engaging collaboratively, but this approach can also present a series of challenges.

Credible Climate Stewardship/Dialogue

Votes/proxy votes should be consistent with the ambition of reaching net-zero by 2050. Any linked climate engagement strategy should be consistent with the ambition of reaching net-zero by 2050. An example for a climate engagement initiative is Climate Action 100+. The escalation procedure is clearly defined and made transparent.

EVIC (Enterprise Value Including Cash)

the sum of the market capitalization of ordinary shares at fiscal year end, the market capitalization of preferred shares at fiscal year-end, and the book values of total debt and minorities' interests. No deductions of cash or cash equivalents are made to avoid the possibility of negative enterprise values. accelerating the decarbonization of the economy.

MSCI Scenario

MSCI uses a global 2°C carbon budget based on the global remaining carbon budget available to limit warming to 2°C, obtained from the IPCC. This is used to assess if portfolios are 2°C-aligned, referring to the Paris Agreement goal of limiting to below 2°C.

Fossil Fuels

Carbon-based fuels from fossil hydrocarbon deposits, including coal, oil, and natural gas. For the purposes of the Swiss Climate Scores, exposure to coal is looked at separately from exposure to other fossil fuels (i.e. oil and natural gas).

Glasgow Financial Alliance for Net-Zero (GFANZ)

GFANZ is a global coalition of leading financial institutions committed to accelerating the decarbonization of the economy.

Global Warming

The estimated increase in global mean surface temperature (GMST) averaged over a 30-year period, or the 30-year period centered on a particular year or decade, expressed relative to pre-industrial levels unless otherwise specified. For 30-year periods that span past and future years, the current multi-decadal warming trend is assumed to continue. See also Climate change and Climate variability.

Global Warming Alignment

The portfolio is considered “”global warming aligned”” if: It is guided by the goal to achieve net zero emissions by 2050, consistent with the 1.5°C warming limit of the Paris Agreement and in line with the latest IPCC findings. Complies with the technical considerations of the TCFD 2021 PAT report “Measuring Portfolio Alignment – technical considerations”. In particular, comply with: Select a 1.5°C scenario that complies, at a minimum, with the scenario selection criteria set out by the Science Based Targets initiative (SBTi) in their document Foundations of Science-Based Target Setting (consideration 7).

o Prioritize granular benchmarks when they meaningfully capture material differences in decarbonization feasibility across industries or regions (Consideration 8).

Green House Gas Emissions (GHGe)

Gases like carbon dioxide (CO2), nitrous oxide (N2O), methane (CH4), ozone (O3) in the atmosphere that is contributing to the green house effects are called Greenhouse Gases (GHGs). These gases prevent solar radiation from escaping, trapping the heat near the earth’s surface where it warms the earth’s atmosphere IPCC: Greenhouse gases are those gaseous constituents of the atmosphere, both natural and anthropogenic, that absorb and emit radiation This property causes the greenhouse effect. Water vapour (H2O), carbon dioxide (CO2), nitrous oxide (N2O), methane (CH4) and ozone (O3) are the primary GHGs in the Earth’s atmosphere. Moreover, there are a number of entirely human-made GHGs in the atmosphere, such as the halocarbons and other chlorine- and bromine-containing substances, dealt with under the Montreal Protocol. Beside CO2, N2O and CH4, the Kyoto Protocol deals with the GHGs sulphur hexafluoride (SF6), hydrofluorocarbons (HFCs) and perfluorocarbons (PFCs). See also Carbon dioxide (CO2), Methane (CH4), Nitrous oxide (N2O) and Ozone (O3).

Long only strategies

A long-only strategy is when you only invest in long positions. For the purposes of the Swiss Climate Score, as of 2022, only long positions should be considered.

Near-term net-zero target

Near-term targets correspond to the 2030 target as communicated to the Science Based Targets initiative (SBTi).

Other fossil Fuel based revenues

For the purposes of the Swiss Climate Score, other fossil fuel based revenues are revenues generated by oil and gas activities. Some sectors are not included in the PAIs of the EU SFDR RTS and should be incorporated in the Swiss Climate Score to the extent possible. This includes transportation, trading, marketing. A way to calculate this indicator may be to use the PAI fossil fuel field and deduct coal activities. From the moment the related activities (coal and/or fossil fuel activities) represent more than 5% of overall revenues of a company, the full amount of current company investment is included for the calculation.

Portfolio

Fund or investment product.

Portfolio Carbon Footprint

A carbon footprint refers to the entire greenhouse gas (GHG) emissions of a portfolio. It is calculated in tons of CO2 equivalents per million USD invested (tCO2e/mUSD). It expresses the amount of annual GHG emissions which can be allocated to the investor per million USD invested in a portfolio and is therefore probably the most intuitive carbon metric available at the portfolio level.

For the purpose of the Swiss Climate Scores: Total carbon emissions for a portfolio normalized by the market value of the portfolio, expressed in tons CO2e / CHF M invested.

Portfolio Carbon Intensity

The volume of carbon emissions per million dollars of revenue (carbon efficiency of a portfolio), expressed in tonnes CO2e / $M revenue. A common measure of this is the Weighted Average Carbon Intensity (WACI).

Portfolio Coverage

For the purposes of the Swiss Climate Scores, the portfolio coverage is defined as the % of portfolio assets by volume which fulfil two criteria:

1. Volumes are from the asset classes corporate bonds and equities
2. Volumes are long positions
3. GHGe data for Scope 1, 2 and 3 is available either in reported or estimated form

Science-based targets

The term “Science-based targets” is currently mostly applied in the context of climate targets. Such targets provide a clearly defined pathway for companies to reduce greenhouse gas (GHG) emissions. According to the Science-based targets initiative, targets are considered “science-based” if they are in line with what the latest climate science deems necessary to meet the goals of the Paris Agreement —limiting global warming to well below 2°C above pre-industrial levels and pursuing efforts to limit warming to 1.5°C. the concept can also be applied to other sustainability targets.

Scope 1 GHGe

Scope 1: Emissions from sources owned or controlled by the company that is measuring emissions

Scope 2 GHGe

Scope 2: Emissions associated with energy purchased by the company that is measuring emissions

Scope 3 GHGe

Scope 3: Emissions related to upstream elements of the supply chain (e.g. Purchased goods and business travel) and downstream elements (use and end-of life treatment sold products) of a company that is measuring emissions.

Share of companies in portfolio with verified commitments to Net-Zero

Companies must have publically communicated a pledge to reach net-zero and have near-term targets be certified by one of the following providers: Science based targets initiative (SBTi).

Weighted Average Carbon Intensity (WACI)

“Portfolio’s exposure to carbon-intensive companies, expressed in tons of CO2e / CHF M.